



LAZY DOG

— CAPITAL —

CAPITAL PARTNER AGREEMENT

TEMPLATE — fill-in fields are completed per capital partner and per deal.

Capital Partner return rate is set by the CP's share of the total loan facility: 45% → 5.5% · 50% → 6.0% · 55% → 6.5% · 60% → 7.0%

REVISED DRAFT — requires securities-attorney review before use. Section 4.3 (Lender's payment guarantee) is the provision most affecting how this arrangement is characterized under securities law. Counsel must be told the structure is **per deal, per partner**, offered to multiple partners who each review and decide — a series of separate offerings, not one ongoing relationship.

This Capital Partner Agreement ("Agreement") is entered into as of _____, 202__ ("Effective Date"), by and between **Lazy Dog Capital LLC**, a Texas limited liability company ("Lender"), and _____ ("Capital Partner").

RECITALS

WHEREAS, Lender is engaged in hard money lending and has identified a loan opportunity for certain real property located at _____ (the "Property"); and

WHEREAS, Capital Partner desires to provide capital to Lender to fund a portion of Lender's first-lien loan to the borrower for the Property; and

WHEREAS, Lender and Capital Partner desire to set forth the terms of Capital Partner's capital contribution, the return thereon, and the security for that contribution.

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, Lender and Capital Partner agree as follows:

1. CAPITAL CONTRIBUTION

Capital Partner agrees to provide to Lender the sum of \$_____ ("Capital Contribution") for the purpose of funding a portion of a hard money loan ("Loan") that Lender makes to a borrower for the acquisition and rehabilitation of the Property.

The Capital Contribution represents _____% of the total Loan amount. **All percentages in this Agreement are expressed as a share of the Loan. The borrower's down payment is not part of the Loan and is not included in this calculation.**

Funding — check one:

☐ **1.1 At closing.** The Capital Contribution shall be funded in full no later than twenty-four (24) hours before the closing of the Loan, and may be sent directly to the title company

handling the closing. The Collateral Assignment described in Section 3 will be recorded immediately following the Deed of Trust.

☐ **1.2 After closing.** Lender has already funded the Loan in full from its own capital. The Capital Contribution shall be funded in full within _____ days of the Effective Date, sent to Lender as reimbursement of capital Lender advanced at closing. **The Collateral Assignment described in Section 3 will be recorded after Lender receives the Capital Contribution in full**, and Lender will confirm at that time that no lien or encumbrance has been filed against the Property ahead of it.

2. RETURN ON CAPITAL

In consideration for the Capital Contribution, Capital Partner shall receive a return of _____ percent (____%) per annum on the Capital Contribution, accruing from the Effective Date through the payoff or maturity of the Loan.

Return is calculated on the basis of a 365-day year and charged for the actual number of days elapsed. The daily rate is the Capital Contribution multiplied by the annual rate and divided by 365. The day the Capital Contribution is received counts; the day of repayment does not.

Monthly return to Capital Partner is approximately \$_____ (subject to rounding and to the actual number of days in each month).

3. SECURITY FOR CAPITAL CONTRIBUTION

The Capital Contribution and all accrued return are secured by a recorded **Collateral Assignment of Note and Deed of Trust** ("Collateral Assignment") from Lender to Capital Partner, the form of which is attached as **Exhibit A**.

Under the Collateral Assignment, Lender assigns to Capital Partner a first-priority interest in the first-lien Note and Deed of Trust encumbering the Property, entitling Capital Partner to be paid its Capital Contribution and accrued return — from any regular payment, prepayment, payoff, sale, or foreclosure — before Lender recovers any of its own capital or return.

Lender shall not subordinate, amend, release, or further encumber the Note, the Deed of Trust, or Capital Partner's assigned priority without Capital Partner's prior written consent.

4. INTEREST PAYMENT AND LOAN SERVICING

4.1 Lender shall service the Loan and collect all payments from the borrower. Lender shall pay to Capital Partner the monthly return on the Capital Contribution, calculated at the rate and on the basis set forth in Section 2, within ten (10) business days following the last day of each calendar month. Amounts collected that are due to Capital Partner under the Collateral Assignment are held by Lender in trust for Capital Partner.

4.2 Capital Partner shall receive written notice of each payment along with a statement showing the outstanding balance and return accrued.

4.3 Lender guarantees Capital Partner's monthly payment. Capital Partner shall receive its monthly return on the Capital Contribution in full and on schedule each month, whether or not the borrower makes any payment to Lender. If the borrower fails to pay, Lender shall advance Capital Partner's monthly return from Lender's own funds. Capital Partner's right to receive its monthly return does not depend on the borrower's performance. This guarantee is subject only to Section 5.2.

5. PRINCIPAL REPAYMENT

5.1 The Capital Contribution of \$_____ shall be repaid to Capital Partner **solely from the proceeds** of the Loan payoff, refinance, or sale of the Property, whichever occurs first, and ahead of Lender's recovery of its own capital. **Capital Partner has no right to demand repayment of the Capital Contribution at any earlier time, for any reason.** Lender may, at its sole option and in its sole discretion, elect to repay a Capital Contribution earlier from its own funds; that election is Lender's alone and creates no right or expectation on the part of Capital Partner. The maturity date of the Loan is anticipated to be approximately _____ (____) months from the Effective Date. This date is a good-faith target for repayment and is not a fixed date on which Lender is independently obligated to repay the Capital Contribution from its own funds.

5.2 Extension for foreclosure. If the borrower defaults and Lender pursues foreclosure, and the anticipated maturity date passes before the Property is sold, the date for repayment of the Capital Contribution shall automatically extend **until the Property is sold**. This extension applies whether or not Capital Partner elects to renew or continue the arrangement. During the extension, the Capital Contribution shall continue to earn the return set forth in Section 2, which shall accrue and, **notwithstanding Section 4.3**, be paid to Capital Partner from the sale proceeds together with the principal rather than advanced monthly by Lender. If the Property is sold before repayment, the Capital Contribution and all accrued return shall be paid from the sale proceeds at that time.

5.3 How long capital may be committed. Capital Partner acknowledges and understands that:

(a) The Loan has a nine (9) month term and the borrower may extend it once by three (3) months, so the Loan may run **up to twelve (12) months** before any default occurs;

(b) If the borrower defaults, repayment extends under Section 5.2 **until the Property is sold**, with no fixed outer limit. Foreclosure, marketing, and sale of a partially completed rehabilitation property can take a substantial period of time;

(c) During any Section 5.2 extension, monthly payments stop and the return accrues instead; and

(d) The Capital Contribution is not liquid. There is no secondary market for this position, and Capital Partner has no right to demand repayment before the Property is sold or the Loan is paid off. **Capital Partner is committed for the full life of the Loan, including through any default, foreclosure, deed in lieu of foreclosure, or other disposition, until the Property is sold and the proceeds are distributed.** Acceptance of a deed in lieu of foreclosure by Lender does not accelerate repayment to Capital Partner.

6. INFORMATION RIGHTS

6.1 Capital Partner shall receive monthly written statements detailing: (a) the outstanding loan balance, (b) payments received, (c) principal repaid, (d) any defaults or delinquencies, and (e) estimated payoff date.

6.2 Capital Partner shall have the right, upon reasonable notice, to review the Note, the Deed of Trust, and the Collateral Assignment, and to receive updates on the borrower's compliance with loan covenants.

7. DEFAULT AND REMEDIES

7.1 If the borrower defaults on the Loan and the default is not cured within the periods specified in the Note and Deed of Trust, **Lender may pursue such remedies as Lender determines appropriate in its reasonable business judgment, including acceleration, non-judicial foreclosure, acceptance of a deed in lieu of foreclosure, forbearance, or workout.** Lender shall keep Capital Partner informed of the remedy pursued and the status of recovery. Lender shall not accept a deed in lieu of foreclosure without Capital Partner's prior written consent, except in connection with a payoff that pays Capital Partner in full.

If Lender fails to remit amounts due to Capital Partner or otherwise defaults under this Agreement, Capital Partner may exercise the rights granted under the Collateral Assignment, including directing the borrower to pay Capital Partner directly and directing foreclosure.

7.2 In the event of foreclosure and sale of the Property, proceeds shall be distributed first to the reasonable expenses of foreclosure (including trustee's commission and costs of sale), then to satisfy the Capital Contribution and accrued return in full, then to satisfy any remaining obligations to Lender.

8. PREPAYMENT

If the borrower prepays the Loan in full prior to maturity, Capital Partner's Capital Contribution and all accrued return to the date of prepayment shall be paid in full. There is no prepayment penalty.

9. LENDER'S RESPONSIBILITY

Lender shall use commercially reasonable efforts to service the Loan and collect payments from the borrower, maintain adequate insurance on the Property, enforce all covenants of the loan documents, and provide Capital Partner prompt notice of any material default or issue affecting the Loan.

10. CAPITAL PARTNER'S REPRESENTATIONS

Capital Partner represents and warrants to Lender, as of the Effective Date and as of the date the Capital Contribution is funded, that:

10.1 Accredited investor. Capital Partner is an "accredited investor" as that term is defined in Rule 501(a) of Regulation D under the Securities Act of 1933, and has completed and delivered an Accredited Investor Questionnaire that is true and complete.

10.2 Sophistication. Capital Partner has such knowledge and experience in financial and business matters, and in real estate lending in particular, as to be capable of evaluating the merits and risks of this transaction, and is able to bear the complete loss of the Capital Contribution.

10.3 Own account. Capital Partner is entering into this Agreement for its own account, for investment purposes, and not with a view to resale or distribution.

10.4 Pre-existing relationship. Capital Partner has a pre-existing relationship with Lender and did not learn of this opportunity through any advertisement, public solicitation, seminar, mass mailing, or other form of general solicitation or general advertising.

10.5 Information received. Capital Partner has received all information it considers necessary to make an informed decision, has had the opportunity to ask questions of Lender and receive answers, and has had the opportunity to consult its own legal, tax, and financial advisors.

10.6 Risk acknowledgment. Capital Partner understands that:

(a) This is a private, illiquid investment in a secured real estate loan and is **not a bank deposit, is not insured, and is not guaranteed by any government agency;**

(b) Real estate lending carries risk, including risk that the property is worth less than projected, that the borrower fails to complete the project, that liens are filed against the property, and that Capital Partner may lose some or all of the Capital Contribution;

(c) Lender's guarantee of monthly payments under Section 4.3 is an unsecured contractual obligation of Lender, is subject to Section 5.2, and depends on Lender's own financial capacity — **it is not a guarantee of return of the Capital Contribution;** and

(d) No governmental authority has reviewed, approved, or passed upon this investment or the adequacy of the information provided.

10.7 Authority. Capital Partner has full power and authority to enter into this Agreement. If Capital Partner is an entity, trust, or retirement account, the person signing is authorized to bind it, and the name shown on the signature page is the name that will appear on the Collateral Assignment and receive all payments.

10.8 Tax reporting. Capital Partner has delivered a completed IRS Form W-9 in the name of the party that will receive payment. Capital Partner understands that Lender will report the return paid on IRS Form 1099-INT to that party. **If Capital Partner is investing through a self-directed retirement account, the W-9 and all payments must be in the name of the custodian for the benefit of that account, not in Capital Partner's individual name.**

11. TRANSFER RESTRICTION

Capital Partner shall not sell, assign, pledge, hypothecate, or otherwise transfer the Capital Contribution, its interest under this Agreement, or its interest under the Collateral Assignment, in whole or in part, **without Lender's prior written consent**, which Lender

may grant or withhold in its sole discretion. Any attempted transfer without such consent is void and of no effect.

12. CONFIDENTIALITY

Capital Partner acknowledges that the terms of this Agreement, the identity of the borrower, and the specifics of the underlying Loan are proprietary and confidential business information of Lender, and agrees not to disclose them to any third party without Lender's prior written consent, except as required by law or to Capital Partner's professional advisors under confidentiality obligations.

13. NOTICES

All notices under this Agreement must be in writing and delivered by certified mail return receipt requested, by nationally recognized overnight courier, by hand delivery, or by email with confirmation of receipt, to:

Lender:

Lazy Dog Capital LLC
3400 N Central Expy #110-217
Richardson, TX 75080
Email: _____

Capital Partner:

Email: _____

Notice is effective on the earlier of actual receipt or three (3) days after deposit in the mail. Either party may change its address by notice given as provided here.

14. GENERAL

14.1 Governing law. This Agreement is governed by and construed in accordance with the laws of the State of Texas, without regard to its conflicts of law principles. Venue for any action lies in Dallas County, Texas.

14.2 Entire agreement. This Agreement, together with the exhibits attached hereto, constitutes the entire agreement between the parties with respect to the subject matter hereof and supersedes all prior negotiations, representations, and agreements, whether written or oral. No summary, projection, or marketing material provided before execution forms part of this Agreement.

14.3 Amendment. This Agreement may be amended only by a written instrument signed by both parties.

14.4 Counterparts; electronic signatures. This Agreement may be executed in counterparts, each of which is an original and all of which together constitute one

instrument. Signatures delivered by electronic transmission, and signatures applied through an electronic signature platform, have the same force and effect as original signatures.

14.5 Severability. If any provision is held invalid or unenforceable, the remaining provisions remain in full force and effect.

14.6 Survival. Sections 10, 11, and 12 survive repayment of the Capital Contribution.

SIGNATURES

LAZY DOG CAPITAL LLC

By: _____

Name: Lewis McKnight Title: Manager

Date: _____

By: _____

Name: Stephen Maner Title: Manager

Date: _____

CAPITAL PARTNER

Name of party that will receive payment (*must match the W-9 and the Collateral Assignment*):

By: _____

Name: _____

Title, if signing for an entity, trust, or custodian: _____

Date: _____

EXHIBIT A — COLLATERAL ASSIGNMENT OF NOTE AND DEED OF TRUST

Attach the form of Collateral Assignment. Lender will execute, acknowledge, and record it as provided in Section 1, and will deliver a recorded copy to Capital Partner.

Recording information. Upon recording, the county clerk assigns each instrument an official recording (document or instrument) number. As soon as Lender receives the recorded instruments back — and in any event within one (1) week of receipt — Lender will deliver to Capital Partner the recording information for the first-lien Deed of Trust and the Collateral Assignment, including the county clerk's document number and the date of record.

EXHIBIT B — ACCREDITED INVESTOR QUESTIONNAIRE

Attach the completed and signed questionnaire.

Lazy Dog Capital LLC · 3400 N Central Expy #110-217, Richardson, TX 75080 · 214-740-4989